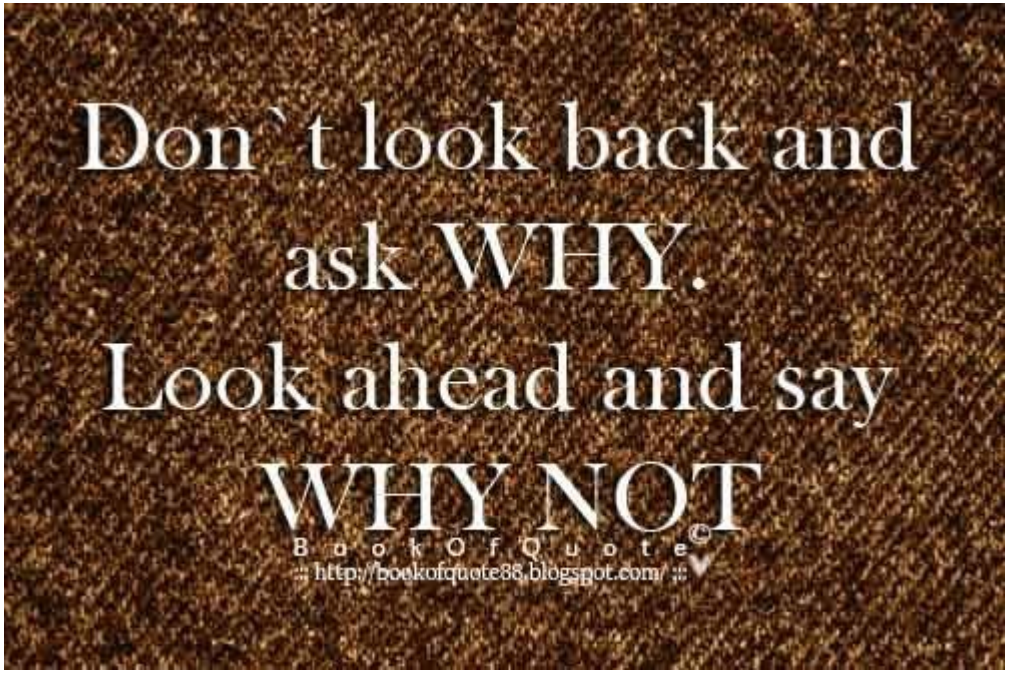
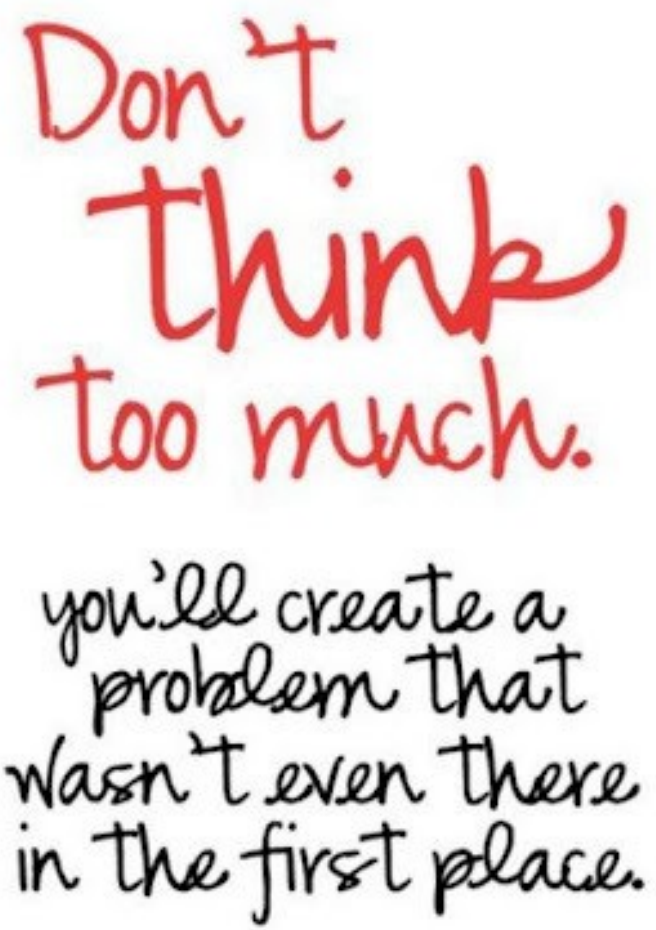
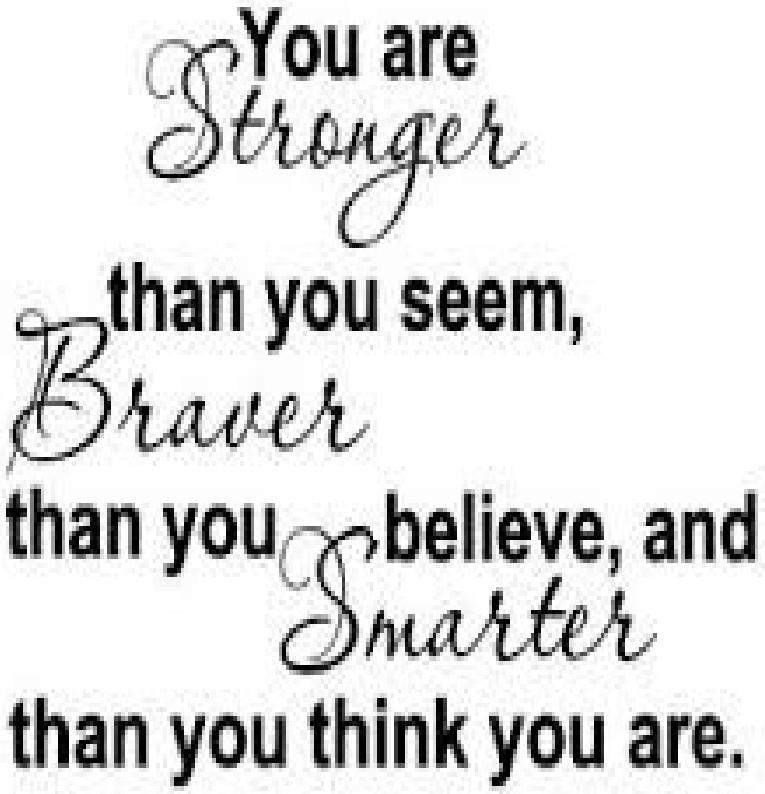
Mind maps
Unit 1





Believe in your ability





"IT'S NOT WHAT WE DO ONCE IN A WHILE THAT SHAPES OUR LIVES. IT'S WHAT WE DO CONSISTENTLY..

~ tony robbins

Time management is key to success

- Written examination: 2 hours
- 80 marks
- Section A: Short- and extended-response questions based on sources (30 marks)
- Section B: Same format as Section A, based on different sources (30 marks)
- Section C: One 20-mark essay question, based on one or more sources (20 marks)



Questions…….

1. Define the term ……. (2 marks)
2. Calculate……. (4 marks)
3. Construct a market map/supply demand diagram….. (4 marks)
4. Explain …… (4 marks)
5. Analyse…… (6 marks)
6. Discuss …….. (8 marks)
7. Assess…….(10 marks)
8. Evaluate……(20 marks)

Use the case study, when you state something back it up with a suggestion for the business.

Unit 1 sections

Section 1 - Meeting customer needs

Section 2 - The market

Section 3- Marketing mix and strategy

Section 4 - Managing people

Section 5 - Entrepreneurs and leaders

Section 1 Meeting customer needs

Mass market – appeals to a large part of the market
Adv - more sale, less risky, market leader in a mass market can be very profitable
Dis - More competition, need to be able to operate on a larger scale, product harder to personalise

Dynamic market is one that changes over time due to a number of factors such as

- Growth
- Population
- Income level
- Technology advances

Market is divided in to segments of the market - gender age income, status,

Niche Market - a small segment of a much larger market
Ad - Less competition, products can be personalise.
Dis - Fewer potential customers, profits lower, higher costs

A **brand** is a name, term, design, symbol, or other feature that distinguishes an organization or product from its rivals in the eyes of the customer

Why do the needs of markets change?

- Social changes
- Changes in legislation
- Innovation
- The nature of the market

Section 1 Meeting customer needs

Market share represents the percentage of an industry, or market's total sales, that is earned by a particular company over a specified time period

Calculate total market share

$$\frac{\text{Sales of a business}}{\text{Total sales in the market}} \times 100\%$$

MATHS TIP

It is common in business to express changes in numerical values such as sales, market size, prices or costs in terms of a percentage. The formula required is given by:

$$= \frac{\text{Difference between the two numbers}}{\text{Original number}} \times 100$$

For example, if the sales of a business increase from 8,000 units to 8,500 units over a period of time, the percentage change is given by:

$$= \frac{8{,}500 - 8{,}000}{8{,}000} \times 100 = \frac{500}{8{,}000} \times 100$$

$$= \mathbf{6.25 \text{ per cent}}$$

Risk a situation involving exposure to danger
The probability that an actual return on an investment will be lower than the expected return

- Risk of the possibility our product would not be successful

Uncertainty - the state of being uncertain
Something that is uncertain or that causes one to feel uncertain

- New competitor enters the market
- Consumers trends change
- New government legislation is implemented

Section 1 Meeting customer needs

Market research enables a firm to find out about its market, customers and competitors

Purpose of market research
To understand customer needs
To identify a gap in the market for a product
To reduce risk (business plan)
To inform decision making for the business.

Primary research is gathering new information e.g Questionnaire, focus group, observation, test marketing of products

Secondary research is using existing research e.g. Internet research, market reports (mintel), government reports

Secondary
Adv – Less time to carry it out
Sometimes larger scale information gathered
Dis – data may not be reliable, may not be relevant

Primary research
Adv –Tailor research questions specifically, Can speak to consumers face to face e.g focus group/ customer or supplier feedback
Dis – time consuming , relatively expensive

Quantitative data is information about quantities; that is, information that can be measured and written down with numbers

Qualitative data - is information about qualities; information that can't actually be measured

Section 1 Meeting customer needs

Methods of primary market research:

- surveys/questionnaires
- focus groups/consumer panels
- face-to-face/telephone interviews
- product trials/test marketing.

Methods of secondary market research:

- websites/social media
- newspapers/magazines/TV/radio
- reports

databases

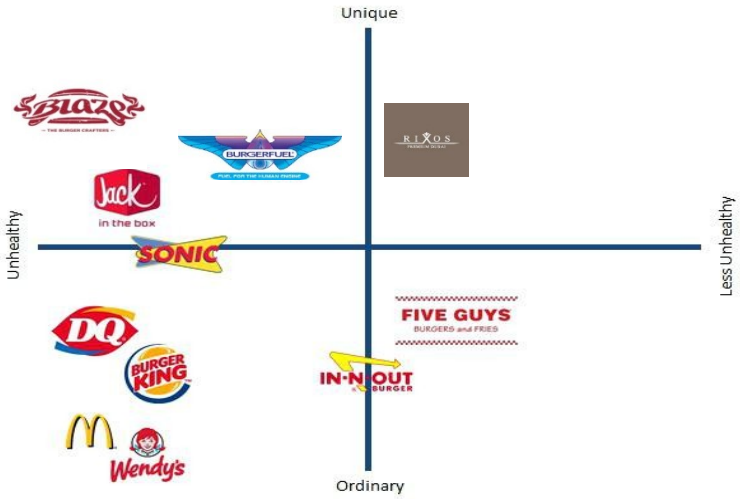
Random sampling each member of the subset carries an equal opportunity of being chosen as a part of the *sampling* process

Quota sampling *t*arget population segment into a number of groups e.g age, gender

Stratified sampling the researcher divides the population into separate groups, called strata. Then, a probability sample (often a simple random sample) is drawn from each group

Section 1 Meeting customer needs

Market mapping is plotting a grid where each existing brand sits on scales based on two important dimensions that are important to a customer



A **marketing orientated** approach means a business reacts to what customers want. The decisions taken are based around information about customers' needs and wants, rather than what the business thinks is right for the customer

Market mapping

Adv – Useful for analyzing competitors

Encourages use of market research, helps spot gaps in the market

Dis - Just because there is a "gap" doesn't mean there is demand, not a guarantee of success, how reliable is the market research

Product differentiation is where businesses become more competitive by making products that **stand out** from the competition in terms of price, quality or service.

Added value is the difference between what a business pays its suppliers, and the price that it is able to charge for the product/service.

A **product orientated** approach means the business develops products based on what it is good at making or doing, rather than what a customer wants

Section 2 The market

Supply – the quantity that sellers are willing and ABLE to sell over time

Demand is an economic term that refers to the amount of products or services that consumers wish to purchase at any given price level

Factors that cause demand curves to shift -

PASIFIC

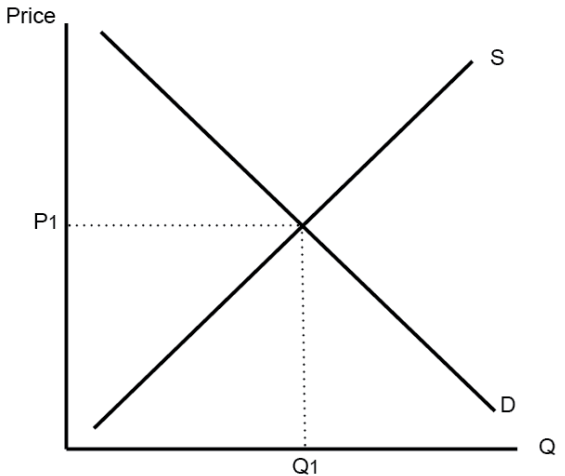
P – population
A – Advertising
S – Substitutes (price of)
I – Income
F – Fashion and trends
I – Interest Rates
C – Complement (Price of)

If consumer incomes **rise** then the demand curve (for a normal good) will SHIFT up and right

Non price determinants of supply

- P – Production costs
- I – Indirect taxes
- N - natural factors (weather, natural disaster)
- T – Technology
- S – Subsidies

If tastes for a good **fall** and demand falls then the demand curve will drop to the left



Section 2 The market

Remember:
Total Revenue = Price x Quantity Demanded

Elasticity *is a measure of the extent to which a quantity responds to a change in a variable."*

P.E.D. = Percentage change in Demand / Percentage change in Price

% Change = Difference / Original x 100 = _____ %

Elastic - Percentage change in Demand will be Greater than change in price.

Inelastic - Percentage change in price will be Greater than change in demand

Determinants of PED
- Availability of substitutes
- Time
- Necessity or Luxury
- Income

Interpreting P.E.D
PED = 1 = Unitary
PED > 1 = Elastic Demand
PED < 1 = Inelastic Demand
PED = 0 = Perfectly inelastic

Why is PED important to a business?
1. Marketing
2. Branding
3. Total revenue

If demand is price elastic	If demand is price inelastic
Increasing price would reduce total revenue.	Increasing price would increase total revenue.
Reducing price would increase total revenue.	Reducing price would decrease total revenue.

A ***normal good*** is one whose ***demand increases*** as people's ***incomes*** or the economy ***rise*** *i.e. with a positive income elasticity of demand*. **Positive** (+) sign

An ***inferior good*** is a *good* whose ***demand decreases*** when consumer ***income rises*** (or ***demand rises*** when consumer ***income decreases***), unlike normal goods, for which the opposite is observed. YED as a **Negative** (-) sign

Income Elasticity of Demand (YED)

Income elasticity of demand measures the responsiveness of demand to a change in income.

$$\text{Income elasticity of demand (YED)} = \frac{\%\text{ change in demand}}{\%\text{ change in income}}$$

What factors will influence YED?

- Necessities
- Luxury
- Income

The significance that YED has on business

- As consumers' incomes rise businesses want to produce normal goods
- Producing a few inferior goods may protect a business from recession
- Retailers use knowledge of YED to plan sales and sell own brand goods in a recession

Section 3 Marketing mix and strategy

Marketing objectives are goals set by a business when promoting its products or services to potential consumers that should be achieved within a given time frame.

Marketing strategies appropriate for different types of market:

- mass markets
- niche markets
- business to business (B2B)
- business to consumer (B2C).

Marketing objectives

- increase market share
- increase revenue
- building a brand

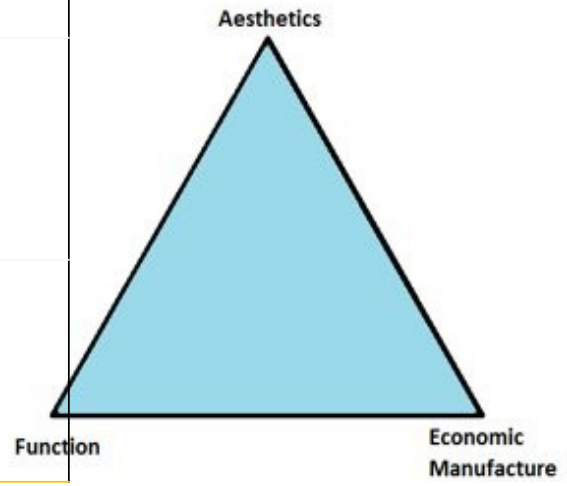
Section 3 Marketing mix and strategy

The **Design mix** is basically a triangle which contains three aspects of design that **all products** need to address in the research and development stage.

Changes in the elements of the design mix to reflect social trends:

- designing for waste minimisation
- re-use and recycling
- ethical sourcing

Function	Aesthetics	Economic Manufacture
The way a productworks	How the product appeals to the customer in terms of how it looks, feels etc	Does the design allow the product to be made and sold profitably?
Does it do what it needs to do	Based on the subjective judgement of customer	How much value is added during the production process?
Is the product reliable	A popular way todifferentiate a product	



Section 3 Marketing mix and strategy

Branding
Creating a unique name and image for a product in the consumers' mind, mainly through advertising campaigns with a consistent theme

Above the line promotion - This is **paid** for communication in the **independent media** e.g. advertising on TV or in the newspapers. Though it can be **targeted**, it can also be seen by anyone outside the target audience.

Below the line promotion - Promotional activities where the business has **direct control** over the target or **intended audience**. There are many methods of below-the-line, including sales promotions, direct marketing, personal selling and sponsorship

There are different examples for above the line consisting of;

1. Television
2. Newspaper and magazine
3. Cinema
4. Radio
5. Poster & billboards
6. Internet

Sponsorship - This is the act of supporting an event, activity, person, or organization financially or through the provision of products or services. The individual or group that provides the support, similar to a benefactor, is known as sponsor

Section 3 Marketing mix and strategy

3 types of branding

Manufacturer brand – These are good created by the producer. E.g. Kellogg's

Own-label brands – these are brands known as private brands where retailers sell products under their own names e.g. Carrefour

Generic brands – products that only contain the name of the actual product category rather then name of company e.g. Paracetamol

Benefits of branding

- added value
- ability to charge premium prices
- reduced price elasticity of demand

Ways to build a brand

- unique selling points (USPs)/differentiation
- advertising
- sponsorship
- the use of social media

What affects the choice of promotion?

Changes in branding and promotion to reflect social trends:

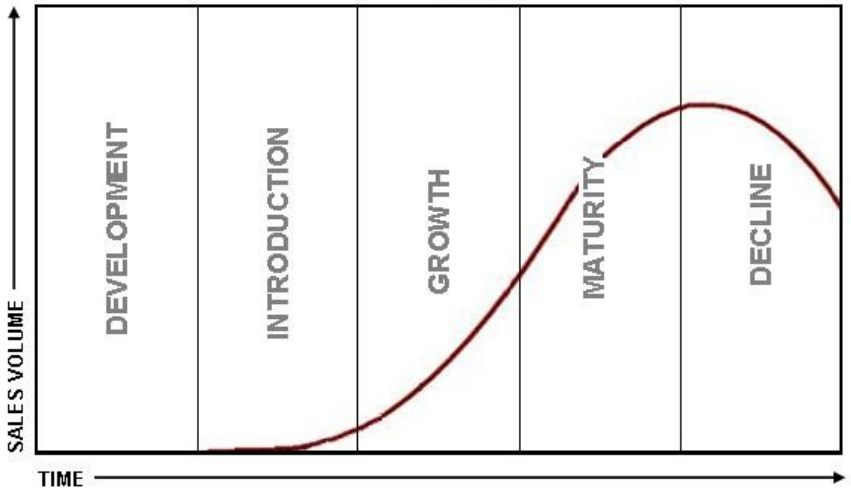
Viral marketing – Sending marketing material that encourages people to pass on messages about products or other businesses electronically

Social media – companies are now spending more of their marketing budget on social media adverts on Facebook and Twitter to help them build a brand

Emotional branding – This is when emotions are used on consumers to build a brand

P s
is likely to offer – sometimes unique to Large businesses to compete

- Development of new products
- Packing and its importance



Product extension strategy is a practice used to increase the market share for a given product or service and thus keep it in the maturity phase of the **marketing** product lifecycle rather than going into decline.

- Adaption of product (new features)
- Advertising
- New packaging
- Price reduction
- Selling into new market

Product portfolio –selling a range of products:
Benefits:
Customer spends more
Different target market
Diversify if product failing

Drawbacks of large portfolio:
Many managers have to be employed
Publicity could be harmed by another product
Development costs high

Launch – sales slow
Growth – Sales demand accelerated
Maturity – Sales level off sue to competition, consumer already have the product
Decline – sales fall

Extension strategies
Update design
Re Brand
Target new markets

Section 3 Marketing mix and strategy

Boston Matrix – helps businesses analyse their **portfolio of businesses and brands**. The Boston Matrix is a popular tool used in marketing and business strategy. Categorises the products into one of four different areas, based on:

Market share – does the product being sold have a low or high market share?

Market growth – are the numbers of potential customers in the market growing or not





Section 3 Marketing mix and strategy

Pricing decisions are based on competition the market Cost of production

Competitive pricing – setting a price for a product based on prices

Price skimming – setting a high price at a high level to create a high quality image

Cost plus pricing – setting a price by adding a profit mark up to the cost of production

Promotional pricing: offering a lower price temporarily in order to enhance the effectiveness of product sales efforts to cost sensitive customers

Loss leader Pricing: setting a price below cost hoping to gain sales

Price penetration – setting a low price at a low level to gain market share and gradually rising with reputation

***Factors that determine the most appropriate pricing strategy for a particular situation*:**

- number of USPs/amount of differentiation
- price elasticity of demand
- level of competition in the business environment
- strength of brand
- stage in the product life cycle
- costs and the need to make a profit.

Changes in pricing to reflect social trends:

- online sales
- price comparison sites

Section 3 Marketing mix and strategy

Place – Method of distributic
from manufacturer to customer

Retailer
person or business that sells goods to the public in relatively small quantities for use or consumption rather than for resale

Place
Producer – Retailer – Customer

Producer – wholesaler – retailer –customer

Online distribution is becoming more popular today. There is a number of benefits of online distribution:

1. Cheaper and lower costs
2. Consumers can shop 24/7
3. Business have more choice where to operate their location
4. Huge choice for consumers

E-tailers (e-commerece)
retailer selling goods via electronic transactions on the Internet.

A **distribution channel** is a chain of businesses or intermediaries through which a good or service passes until it reaches the end consumer. It can include wholesalers, retailers, **distributors** and even the internet itself



Section 4 Managing people

Staff as an asset

Employers that view their employees as assets will value their employees and have a concern for their welfare. Employers will recognise that their staffs' efforts will help the business to perform more effectively. These employers will therefore try to meet the needs of employees.

Staff as a cost

Some employers view staff as a cost. This means that they make efforts to minimise the cost rather than meeting the needs of the employees themselves.

A **flexible workforce** is one that grows in number to meet needs at any given time and falls back to a baseline number when the increased size is no longer necessary.

Flexible workforce: Multiskilling, part-time and temporary, zero-hour contracts, flexible hours, homeworking and outsourcing.

What is the difference between dismissal and redundancy?

Taking an **individual approach** means terms of employment and disagreements are settled through negotiation between an individual employee and a representative of an employer

Collective bargaining involves determining the terms of employment through a negotiation process employers and representatives, such as trade union representatives

Section 4 – Managing people

Different types of Training for staff
Induction – New staff
On job training – Whilst working
Off job training – Off site, college etc

A *job description* is an internal document that states the essential *job* requirements, *job duties*, *job responsibilities*, required to perform a specific role

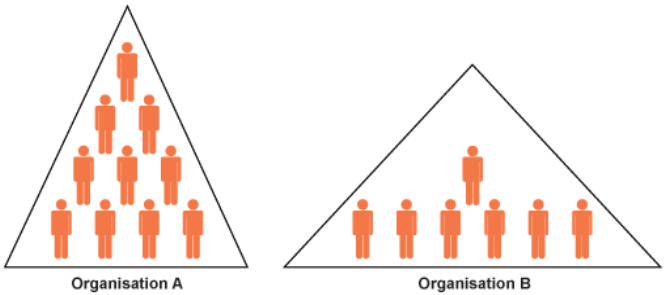
External recruitment is when the business looks to fill the vacancy from any suitable applicant outside the business.
Adv - Outside people bring in new ideas, Larger pool of workers from which to find best candidate
Dis - Longer process , More expensive process due to advertisements and interviews required

The **person specification** is a description of the qualifications, skills, experience, knowledge and other attributes (selection criteria) which a candidate must possess to perform the **job** duties

Internal recruitment is when the business looks to fill the vacancy from within its existing workforce
Adv – Cheaper and quicker to recruit, People already familiar with business and how it operates, Provides opportunities for promotion with in business
Dis - Limits number of potential applicants, No new ideas can be introduced from outside, May cause resentment amongst candidates not appointed

Organisational structure:

- Makes clear who is responsible for which department
- How employees can communicate
- Allows layers of management



Tall

Flat

Three types

Flat structure – Less levels of management, more span of control

Tall structure – more levels of management, less span of control

Matrix - Where staff work in project teams in addition to their responsibilities within their own departments.

Layers of management:
Number of different managers in an organisation

Span of control:
The number of employees each manager is responsible for.

Section 4 Managing people

Chain of command –
Process in which instructions are passed down

Delegation –
Assignment of any responsibility or authority to another person

Flat structure

Adv - Quicker communication, More responsibility to the workers (motivation)

Dis – less chance of staff promotion, management can easily lose control

Tall structure

Adv - Fewer staff to control, Promotion opportunities

Dis - Higher management costs, decision may take longer

Section 4 – Managing people

Decentralisation organisation

- Decision making spread across middle managers
- Local managers may have better knowledge
- Motivation giving responsibility for lower managers
- Ability to adapt to customer needs

Advantages of centralisation

- Decisions made by experienced people with overview of whole company
- Ensures policies are consistent throughout company

Disadvantages of centralistion

- Reduces input of day to day experts
- Branch managers may feel powerless and demoralised

Centralisation organisation

- Senior managers make all decisions
- Strong leadership needed
- Central decision should be consistent
- Allows for quick decisions



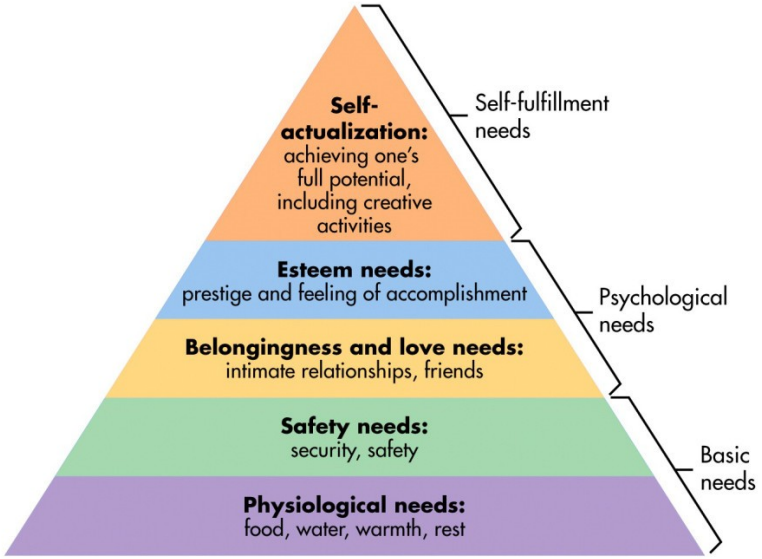


Section 4 – Managing people

Importance of motivation in workplace – attract employees, retains staff to stay in business, increases productivity, better service to customers

Taylor's scientific management theory – pay piece rate, treat staff like machines, close supervision of staff

Mayo Theory concluded that workers are best motivated by
Better communication and working in teams or groups



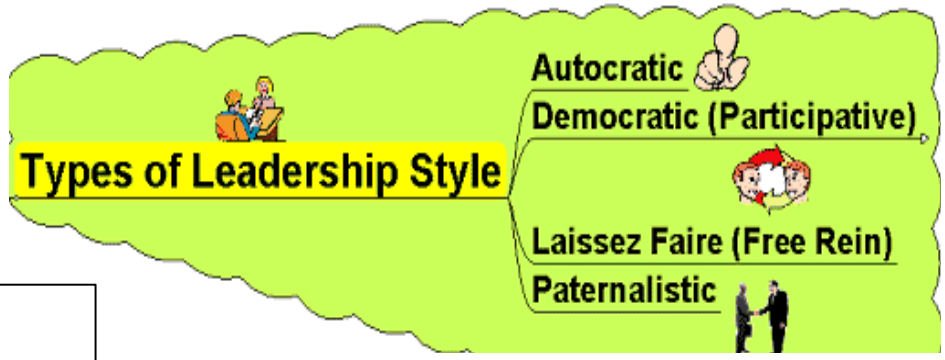
Herzberg's Two-Factor Theory

Motivators	Hygiene Factors
Work itself Autonomy Authority Responsibility Recognition Achievement	Relationships Job security Work conditions Salary/wages

Employee <u>financial</u> motivation techniques – remuneration, bonus, commission, promotion, profit share, performance related pay

Employee <u>non-financial</u> motivation techniques – Job rotation, job enrichment, job enlargement empowerment, team working, flexible working

Section 4 – Managing people



Autocratic

- Tell employees what to do and do not listen much to what workers have to say
- They know what they want doing and they want it done
- They give orders to workers and do not want much feedback

Democratic

- Involve workers in decisions
- listen to employees ideas and ensure employees contribute to discussion
- managers put forward their ideas and employees give their opinions
- A democratic manager would often delegate decision making power to junior staff

Paternalistic

- Leader acts as a 'father figure'
- Tries to do what's best for staff
- Paternalistic leader makes decision but may consult
- Believes in the need to support staff
- A softer form of democratic

Laissez-faire

Leader has little input into day-to-day decision-making

•Conscious decision to delegate power

•Managers / employees have freedom to do what they think is best

Aim – is a purpose of desired outcome that a business wish to achieve is the long run.

Objectives are usually short /medium terms goals that help a business reach their overall aim.

Entrepreneur – a person who owns and runs their own business and takes risks to start up the business with a view to making a profit or return.

Enterprise skill set

- Creativity
- Leadership
- Influencing skills
- Teamwork
- Delegation
- Problem solving
- Time management
- Self confidence resourcefulness

Section 5 – Entrepreneurs and leaders

Business Objectives

1. Survival
2. Profit maximization
3. Sales maximization
4. Market share
5. Cost efficiency
6. Employee welfare
7. Customer satisfaction
8. Social objectives

Role of an entrepreneur

Creating and setting up a business.
b) Running and expanding/developing a business.
c) Innovation within a business (intrapreneurship).
d) Barriers to entrepreneurship.
e) Anticipating risk and uncertainty in the business environment

The best type of objectives are said to be SMART. This means they are
S – Specific
M – Measurable
A – Agreed
R – Realistic
T – Time constrained

Section 5 – Entrepreneurs and leaders

Barriers to entry for entrepreneurship

1. Lack of finance
2. Lack of entrepreneurial skills
3. Red tape (legal barriers i.e. registration)
4. Lack of ideas
5. Risk of failure / or fear
6. Aversion of risk
7. Becoming an employer
8. Corrupt or unsupportive environment

Entrepreneurship	**Intrapreneurship**
Entrepreneurial activity by Entrepreneur	*Entrepreneurial activity by employees and managers*
Rewards go to Entrepreneur	*Rewards (most) go to company*
Risk taken by Entrepreneur	*Risk taken by company*

Reasons why people set up businesses

financial motives: profit maximisation and profit satisficing

non-financial motives: ethical stance, social entrepreneurship, independence and home working.

Making decisions requires trading **off** one item against another. In economics, the term **trade-off** is often expressed as an opportunity cost, which is the most preferred possible alternative.

A **trade-off** involves a sacrifice that must be made to get a certain product or experience

Opportunity cost measures the cost of any choice in terms of the next best alternative foregone